

CONSTRUCTION LOAN AGREEMENT

Dated: As of July 1, 2023

SUMMIT RIDGE DEVELOPMENT PARTNERS, LP

("Borrower")

and

CORNERSTONE BANCORP

("Lender")

\$22,500,000.00 CONSTRUCTION LOAN

For construction of a 120-unit multifamily residential complex
located at 7800 Crestview Boulevard, Austin, Texas 78701

ARTICLE I — DEFINITIONS

"Approved Budget" means the itemized construction budget attached as Exhibit B, as amended with Lender's approval.

"Approved Plans" means the construction drawings, specifications and plans approved by Lender in writing prior to the Closing Date.

"Architect" means Crestview Design Studio, LLC, or another architect approved by Lender.

"Completion Date" means December 31, 2024, as may be extended by Lender in writing.

"Construction Contract" means the general contract between Borrower and General Contractor for construction of the Improvements.

"Contingency Reserve" means a minimum 5% contingency line item within the Approved Budget.

"Draw Request" means Borrower's written requisition for a disbursement of Loan proceeds in the form attached as Exhibit C.

"General Contractor" means Apex Building Corporation, licensed in Texas, or another contractor approved by Lender.

"Guarantor" means Michael R. Summit and Ridge Capital Partners Fund II, LLC, jointly and severally.

"Improvements" means the 120-unit multifamily residential complex to be constructed on the Property.

"Inspection Fee" means \$1,500 per construction inspection performed by Lender's Inspector.

"Inspector" means a licensed engineer or construction specialist retained by Lender at Borrower's expense.

"Interest Reserve" means \$1,350,000 set aside within the Loan proceeds to pay interest during the construction period.

"Lien Waiver" means a conditional or unconditional release of mechanic's lien rights executed by the General Contractor and all subcontractors and materialmen as a condition to each Draw.

"Loan Conversion" means the conversion of the construction loan to a permanent term loan as described in Section 3.6.

"Maturity Date" means the earlier of (i) June 30, 2025 or (ii) the Completion Date plus 90 days.

"Property" means the real property at 7800 Crestview Boulevard, Austin, Texas 78701, described in Exhibit A.

"Retainage" means 10% of each progress payment withheld from the General Contractor until Substantial Completion.

"Substantial Completion" means completion of Improvements such that a Certificate of Occupancy has been issued and all units are available for occupancy.

ARTICLE II — CONDITIONS PRECEDENT TO CLOSING

The obligation of Lender to close the Loan is conditioned upon:

- (a) Executed Loan Documents, including this Agreement, Construction Note, Deed of Trust, Assignment of Leases and Rents, and Guaranty.
- (b) Title insurance commitment insuring Lender's Deed of Trust as a first lien, with no exceptions other than Permitted Encumbrances.
- (c) Approved Plans and Approved Budget in form satisfactory to Lender and Inspector.
- (d) Executed Construction Contract and all major subcontracts for amounts exceeding \$250,000.
- (e) Evidence of all required building permits and governmental approvals for construction.
- (f) ALTA survey of the Property acceptable to Lender.
- (g) Environmental Phase I (and Phase II if required) satisfactory to Lender.
- (h) Evidence of builder's risk, general liability and workers' compensation insurance.
- (i) Appraisal showing as-completed value with Loan-to-Value not exceeding 65%.
- (j) Evidence of equity contribution: Borrower shall have contributed not less than \$8,500,000 of equity prior to or concurrently with the initial Loan disbursement.

ARTICLE III — LOAN TERMS AND DISBURSEMENTS

Section 3.1 The Loan. Subject to the conditions herein, Lender agrees to make a construction loan in the principal amount not to exceed \$22,500,000.00. The Loan is a single-advance facility; amounts repaid may not be reborrowed.

Section 3.2 Interest Rate. The Loan shall bear interest at Term SOFR (1-month) plus 2.50%, with a floor of 4.00% per annum. After any Event of Default, interest accrues at the Default Rate (Interest Rate + 5%). Interest is computed on a 360-day year.

Section 3.3 Draw Procedure. Borrower may request disbursements no more than once per month by submitting a Draw Request at least 10 Business Days prior to the requested disbursement date. Each Draw Request must include: (i) a completed draw schedule by budget line item; (ii) unconditional Lien Waivers for all prior payments; (iii) conditional Lien Waivers for the current draw; (iv) updated schedule of values; (v) Inspector's approval; and (vi) Architect's certificate of percentage complete.

Section 3.4 Conditions to Each Disbursement. Each disbursement is conditioned on: (a) no Event of Default; (b) Inspector's confirmation that work is in place and conforms to Approved Plans; (c) Lien Waivers as described above; (d) title endorsement bringing the Lender's lien current; (e) budget balance sufficient to complete remaining work.

Section 3.5 Interest Reserve. Lender shall establish an Interest Reserve of \$1,350,000 from the Loan proceeds. Monthly interest payments shall be disbursed from the Interest Reserve until exhausted, after which Borrower shall pay interest directly.

Section 3.6 Conversion Option. Upon Substantial Completion and satisfaction of Lender's conversion conditions (including minimum occupancy of 85% and DSCR of 1.20:1.00), Borrower may request conversion of the

outstanding Loan balance to a 5-year term loan at Term SOFR plus 2.00% with 25-year amortization. Lender's commitment to convert is subject to Lender's credit approval at the time of conversion.

Section 3.7 Maturity and Repayment. All outstanding principal, accrued interest and other Obligations are due and payable on the Maturity Date. No amortization payments are required during the construction period.

Section 3.8 Fees. (a) Origination Fee: 1.00% of Commitment (\$225,000), due at closing. (b) Extension Fee: 0.50% of outstanding balance per 90-day extension, if any. (c) Inspection Fees: As incurred.

ARTICLE IV — CONSTRUCTION COVENANTS

Section 4.1 Construction Obligations. Borrower shall: (a) commence construction within 30 days of the Closing Date; (b) prosecute construction diligently and continuously; (c) complete construction by the Completion Date; (d) comply with all applicable Legal Requirements; (e) not make material changes to the Approved Plans without Lender's prior written approval.

Section 4.2 Cost Overruns. If Lender determines at any time that Loan proceeds are or may be insufficient to complete construction per the Approved Budget, Borrower shall, within 10 Business Days of demand, deposit with Lender cash in an amount equal to the projected shortfall.

Section 4.3 Casualty During Construction. In the event of any casualty to the Improvements, Borrower shall immediately notify Lender. Insurance proceeds shall be held by Lender and disbursed for restoration subject to Lender's approval.

Section 4.4 Inspections. Lender and its Inspector shall have the right to inspect the Property and construction at any time upon reasonable notice. Borrower shall cooperate with and provide access to Lender's Inspector.

Section 4.5 Change Orders. Change orders in excess of \$50,000 individually or \$250,000 cumulatively require Lender's prior written consent and Approved Budget amendment.

ARTICLE V — REPRESENTATIONS, WARRANTIES AND GENERAL COVENANTS

Section 5.1 Representations. Borrower represents that: (a) it is validly organized and authorized to enter into the Loan Documents; (b) all financial statements are accurate; (c) it has obtained all required governmental approvals; (d) the Property is not subject to any Lien other than Permitted Encumbrances; (e) no litigation exists that could have a Material Adverse Effect.

Section 5.2 Financial Reporting. Borrower shall provide Lender with: (a) monthly construction progress reports within 15 days of month-end; (b) annual financial statements within 90 days of fiscal year-end; (c) Guarantor's personal financial statements annually within 90 days of year-end; (d) leasing status reports (once Loan Conversion conditions are being pursued) monthly.

Section 5.3 Prohibitions. Without Lender's prior written consent, Borrower shall not: (a) encumber or transfer the Property; (b) incur additional debt; (c) change the General Contractor or Architect; (d) commence leasing on terms not previously approved by Lender.

ARTICLE VI — EVENTS OF DEFAULT AND REMEDIES

Events of Default include: (a) failure to pay any amount due within 5 days; (b) abandonment of construction for more than 15 days; (c) failure to achieve Substantial Completion by the Completion Date; (d) any representation proves materially false; (e) bankruptcy or insolvency of Borrower or Guarantor; (f) any mechanic's lien filed and not discharged within 30 days; (g) loss or expiration of building permits. Upon an Event of Default, Lender may: (i) declare all Obligations immediately due; (ii) terminate further disbursements; (iii) take possession of and complete

construction at Borrower's expense; (iv) foreclose on the Deed of Trust.

ARTICLE VII — GENERAL PROVISIONS

Governing Law: Texas. **Venue:** Travis County, Texas. **Jury Trial Waiver:** Each party waives the right to trial by jury. **Amendments:** Must be in writing, signed by both parties. **Notices:** Borrower: 200 Congress Avenue, Suite 400, Austin, TX 78701; Lender: 1200 Commerce Street, Dallas, TX 75202. **Indemnity:** Borrower indemnifies Lender against all losses arising from the Loan, construction or the Property, except losses caused by Lender's gross negligence or willful misconduct.

IN WITNESS WHEREOF, the parties have executed this Agreement as of the date first set forth above.

SUMMIT RIDGE DEVELOPMENT PARTNERS, LP	CORNERSTONE BANCORP
a Texas limited partnership	a Texas state-chartered bank

By: _____

By: _____

Name: _____

Name: _____

Title: _____

Title: _____